Definition of Capital

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) every _firm_ that is a _CRR firm_ ; and
2. (2) a _CRR consolidation entity_.

1.1A

1. (1) A _CRR firm_ must comply with this Part on an individual basis and as applicable on a _sub-consolidated basis_.
2. (2) A _CRR consolidation entity_ must comply with this Part (other than Chapter 2) on a _consolidated basis_ and for this purpose, references to a _firm_ in this Part (other than in 1.1 and 1.1A) mean a _CRR consolidation entity_.

* Future version of 1.1A after 01/01/2027

1.2

In this Part the following definitions shall apply:

Side agreement

means any document containing an agreement or other arrangement, including a proposed agreement or other arrangement, related to the capital instrument (whether or not explicitly referred to in the instrument) which could affect the assessment of compliance of the instrument with Part Two of _CRR_.

Small specialist bank

a _bank_ that has capital resources equal to or in excess of the base capital resources requirement for a _small specialist bank_ in 12.1 but less than the base capital resources requirement of a _bank_ and that carries out one or more of the following activities:

1. (1) provides current and savings accounts;
2. (2) lending to _small and medium-sized enterprises_ ;
3. (3) lending secured by mortgages on residential property.

* Future version of 1.2 after 01/01/2027

1.3

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Holdings of Own Funds Instruments Issued by Financial Sector Entities Included in the Scope of Consolidated Supervision

2.1

For the purposes of calculating _own funds_ on an individual basis and a _sub-consolidated basis_ , _firms_ subject to supervision on a _consolidated basis_ must deduct holdings of _own funds instruments_ issued by _financial sector entities_ included in the scope of consolidated supervision in accordance with Part Two of the _CRR_ , except where the exception in 2.3 or 2.7 applies.

* Future version of 2.1 after 01/01/2027

2.2

[Deleted.]

2.3

A _firm_ must not apply the deduction in 2.1 to its holdings of _own funds instruments_ issued by a venture capital investor that is included in the scope of consolidated supervision of the _firm_.

2.4

For the purposes of this Chapter, a venture capital investor is a _financial institution_ , in relation to which:

1. (1) the sole purpose is to make venture capital investments and carry out unregulated activities in relation to the administration of venture capital investments; and
2. (2) none of its venture capital investments is in a _credit institution_ or a _financial institution_ , the principal activity of which is to perform any activity other than the acquisition of holdings in other undertakings (within the meaning of section 1161(1) of the Companies Act 2006).

2.5

For the purposes of this Chapter, a venture capital investment is a designated investment which, at the time the investment is made, is:

1. (1) in a new or developing company or venture; or
2. (2) in a management buy-out or buy-in; or
3. (3) made as a means of financing the investee company or venture and accompanied by a right of consultation, or rights to information, or board representation, or management rights; or
4. (4) acquired with a view to, or in order to, facilitate a transaction falling within (1) to (3).

2.6

For the purposes of this Chapter, a designated investment is a security or contractually-based investment specified in Articles 76 to 85 and 89 of the Financial Services and Markets Act 2000 (Regulated Activities) Order 2001.

2.7

A _firm_ must not apply the deduction in 2.1 to that percentage of its holdings of _own funds instruments_ issued by a venture capital holding company included in the scope of consolidated supervision of the _firm_ that represents the value of the venture capital holding company?s investment in venture capital investors.

2.8

For the purposes of this Chapter, a venture capital holding company is a _financial institution_ , in respect of which:

1. (1) it is a _financial institution_ solely by reason of its principal activity being the acquiring of holdings;
2. (2) it holds shares (in the meaning of section 76 of the Financial Services and Markets Act 2000 (Regulated Activities) Order 2001) in a venture capital investor; and
3. (3) the proportion of the value of the venture capital holding company attributable to investment in Venture Capital Investors and the proportion of the value of the venture capital holding company attributable to other investments can be identified and valued on a regular basis.

[Note: Art 49(2) of the _CRR_]

3

Qualifying Holdings Outside the Financial Sector [Deleted]

3.1

[Deleted]

4

Connected Funding of a Capital Nature

4.1

[Deleted.]

4.2

A _firm_ must not avoid the requirements of the _CRR_ by structuring its investments as connected funding of a capital nature.

4.3

A _firm_ must treat all connected funding of a capital nature as a holding of capital of the connected party and apply to it the treatment under the _CRR_ and the PRA Rulebook applicable to such a holding, including any reporting or disclosure requirements in respect of such holding.

4.4

If the connected party is a _financial sector entity_ , the _firm_ must treat the connected funding of a capital nature as a holding of _Common Equity Tier 1 instruments_ ,_Additional Tier 1 instruments_ or _Tier 2 instruments_ of the connected party, as appropriate in light of the funding?s characteristics when compared to the characteristics of each type of _own funds instruments_.

4.5

A _firm_ must report to the _PRA_ all connected funding of a capital nature at least one _month_ in advance of entry into the relevant funding transaction and identify each relevant transaction with sufficient detail to allow the _PRA_ to evaluate it.

4.6

A loan or other funding transaction is connected funding of a capital nature if it is made by the _firm_ to a connected party and:

1. (1) based on its terms and other factors of which the _firm_ is aware, the connected party would be able to consider it from the point of view of its characteristics as capital as being similar to an _own funds instrument_ ; or
2. (2) the position of the _firm_ from the point of view of maturity and repayment is inferior to that of the senior unsecured and unsubordinated creditors of the connected party.

4.7

A loan or other funding transaction is connected funding of a capital nature if it:

1. (1) funds directly or indirectly a loan to a connected party that has the characteristics described in 4.6 or of a capital investment in a connected party; or
2. (2) has itself the characteristics described in 4.6.

4.8

A guarantee is connected funding of a capital nature if it is a guarantee by the _firm_ of a loan or other funding transaction from a third party to a connected party of the _firm_ and:

1. (1) the loan or other funding transaction has the characteristics described in 4.6 or the characteristics described in 4.7; or
2. (2) the rights that the _firm_ would have against the connected party have the characteristics described in 4.6(2).

4.9

For the purposes of this Chapter and in relation to a _firm_ , a connected party means another person (?P?) in respect of whom the _firm_ has not been permitted to apply the individual consolidation method under Article 9 of the _CRR_ and one of the following applies:

1. (1) P is closely related to the _firm_;
2. (2) P is an associate of the _firm_; or
3. (3) the same persons significantly influence the _management body_ of P and the _firm_.

4.10

For the purposes of 4.9(1), a _firm_ and another person are closely related when:

1. (1) the insolvency of one of them is likely to be associated with the insolvency or default of the others;
2. (2) it would be prudent when assessing the financial condition or creditworthiness of one to consider that of the other; or
3. (3) there is, or there is likely to be, a close relationship between the financial performance of the _firm_ and that person.

4.11

For the purposes of 4.9(2), a person is an associate of a _firm_ if it is:

1. (1) in the same group as the _firm_ ;
2. (2) an appointed representative (in the sense of section 39 of _FSMA_) or tied agent (as described in Article 4(1)(29) of _MiFID_) of the _firm_ or a member of the _firm?s_ group; or
3. (3) any other person whose relationship with the _firm_ or a member of the _firm?s_ group might reasonably be

expected to give rise to a community of interest between them which may involve a conflict of interest in dealings with third parties.

5

Connected Transactions [Deleted]

5.1

[Deleted.]

5.2

[Deleted.]

5A

Side Agreements

5A.1

A _firm _must send to the _PRA_ any _side agreement_ not previously sent to the _PRA_ and must do so at least one _month_ in advance of entry into the _side agreement_ together with sufficiently detailed information to allow the _PRA_ to evaluate it.

6

Own Funds Instruments Issued Under Non-EEA Law (deleted)

6.1

[Deleted.]

6.2

[Deleted.]

7

Notification Regime ? Issuance [Deleted]

7A

Pre-Issuance Notification (PIN) Regime for Common Equity Tier 1 Instrument

7A.1

Where a _firm_ , or another member of its _group_ that is not a _firm_ but is included in the supervision on a _consolidated basis_ of the _firm_ , intends to:

1. (1) issue a capital instrument that it considers will qualify under Part Two of _CRR_ as a _Common Equity Tier 1 instrument_ ; or
2. (2) amend or otherwise vary the terms of such an instrument included in its _own funds_ or the _own funds_ of its _consolidation group_ ;

the _firm_ shall, at least one _month_ before the intended date of issuance or intended date of amendment or variation, as applicable, notify the _PRA_ of that intention, except that where there are exceptional circumstances which make it impracticable to give such a period of notice, the _firm_ must give as much notice as is reasonably practicable in those circumstances.

* Future version of 7A.1 after 01/01/2027

7A.2

When notifying _PRA_ under 7A.1 the _firm_ must:

1. (1) complete and submit the form referred to in 7D.3(1) (Pre/Post-Issuance Notification (PIN) Form);
2. (2) provide a copy of the draft terms and conditions of the capital instrument together with any _side agreement_ ;
3. (3) provide a properly reasoned draft independent legal opinion from an appropriately qualified individual confirming that the capital instrument qualifies as a _Common Equity Tier 1 instrument_ under Part Two of _CRR_ ; and
4. (4) complete and submit the form referred to in 7D.3(2) (CET1 Compliance Template).

* Future version of 7A.2 after 01/01/2027

7A.3

7A.1 and 7A.2 shall not apply to subsequent issuances of a form of Common Equity Tier 1 instruments for which the firm has already received a 138BA permission from the PRA and that the provisions governing those subsequent issuances are substantially the same as the provisions governing those issuances for which the institutions have already received a 138BA permission. Instead the firm must:

1. (1) notify the PRA as soon as is reasonably practicable after the capital instrument?s classification as a Common Equity Tier 1 instrument, or in the case of an amendment or variation, as soon as is reasonably practicable after that amendment or variation has taken effect, such notice confirming that the instrument:
1. (a) has been issued on substantially the same terms as the previously notified issuance, or in the case of an amendment or variation, the instrument as so amended or varied takes effect on substantially the same terms as the previously notified issuance; and
2. (b) qualifies as a _Common Equity Tier 1 instrument_ under Chapter 3 of the Own Funds (CRR) Part;
2. (2) complete and submit the form referred to in 7D.3(1) (Pre/Post-Issuance Notification (PIN) Form); and
3. (3) send to the PRA a copy of the terms and conditions of the instrument or, in the case of an amendment or variation, the instrument as it is proposed to be amended or varied, together with any side agreement.

7A.4

7A.1, 7A.2 and 7A.3 shall not apply to subsequent issuances of a form of Common Equity Tier 1 instruments for which the firm has already received a 138BA permission from the PRA and that the provisions governing those subsequent issuances are identical to the provisions governing those issuances for which the institutions have already received a 138BA permission.

7B

Pre-Issuance Notification (PIN) Regime for Additional Tier 1 Instrument

7B.1

Where a _firm_ , or another member of its _group_ that is not a _firm_ but is included in the supervision on a _consolidated basis_ of the _firm_ , intends to:

1. (1) issue a capital instrument that it considers will qualify under Part Two of _CRR_ as an _Additional Tier 1 instrument_ ; or
2. (2) amend or otherwise vary the terms of such an instrument included in its _own funds_ or the _own funds_ of its _consolidation group_ ;

the _firm_ shall, at least one _month_ before the intended date of issuance or intended date of amendment or variation, as applicable, notify the _PRA_ of that intention, except that where there are exceptional circumstances which make it impracticable to give such a period of notice, the _firm_ must give as much notice as is reasonably practicable in those circumstances.

* Future version of 7B.1 after 01/01/2027

7B.2

When notifying the _PRA_ under 7B.1 the _firm_ must:

1. (1) complete and submit the form referred to in 7D.3(1) (Pre/Post-Issuance Notification (PIN) Form);
2. (2) provide a copy of the draft terms and conditions of the capital instrument together with any _side agreement_ ;
3. (3) provide a properly reasoned draft independent legal opinion from an appropriately qualified individual confirming that the capital instrument qualifies as an _Additional Tier 1 instrument_ under Part Two of _CRR_ ; and
4. (4) provide a properly reasoned draft opinion by its auditors as to the capital instrument?s treatment under the _applicable accounting framework_.

* Future version of 7B.2 after 01/01/2027

7B.3

Where a _firm_ has previously complied with these rules in respect of the issuance of an _Additional Tier 1 instrument_ and that _firm_ or another member of its _group_ that is not a _firm_ but is included in the supervision on a _consolidated basis_ of the _firm_ , intends to:

1. (1) issue a capital instrument on substantially the same terms as the previously notified issuance; or
2. (2) amend or otherwise vary the previously notified issuance in a way which will result in the instrument taking effect on substantially the same terms as that issuance;

7B.1 and 7B.2 shall not apply.

7B.4

Where 7B.1 and 7B.2 does not apply by virtue of 7B.3 the _firm_ must:

1. (1) [deleted]
2. (2) notify the PRA as soon as is reasonably practicable after the capital instrument?s classification as an Additional Tier 1 instrument, or in the case of an amendment or variation, as soon as is reasonably practicable after that amendment or variation has taken effect, such notice confirming that the instrument:
   1. (a) has been issued on substantially the same terms as the previously notified issuance, or in the case of an amendment or variation, the instrument as so amended or varied takes effect on substantially the same terms as the previously notified issuance; and
   2. (b) qualifies as an _Additional Tier 1 instrument_ under Chapter 3 of the Own Funds (CRR) Part;
3. (3) complete and submit the form referred to in 7D.3 (1) (Pre/Post-Issuance Notification (PIN) Form) \(Pre/Post-Issuance Notification \(PIN\) Form\)"); and
4. (4) send to the _PRA_ a copy of the terms and conditions of the instrument or, in the case of an amendment or variation, the instrument as it is proposed to be amended or varied, together with any _side agreement_.

7C

Post Issuance Notification (PIN) Regime for Tier 2 Instrument

7C.1

Where a _firm_ , or another member of its _group_ that is not a _firm_ but is included in the supervision on a _consolidated basis_ of the _firm_ :

1. (1) has issued a capital instrument that it considers will qualify under _CRR_ as a Tier 2 instrument; or
2. (2) has amended or otherwise varied the terms of a Tier 2 instrument included in its _own funds_ or the _own funds_ of its _consolidation group_ ;

the _firm_ shall on or immediately after the date of issuance or the date of amendment or other variation, as applicable, notify the _PRA_ of that issuance, amendment or variation.

7C.2

When giving notice under 7C.1 the _firm_ must:

1. (1) complete and submit the form referred to in 7D.3(1) (Pre/Post Issuance Notification (PIN) Form);
2. (2) provide a copy of the terms and conditions of the capital instrument together with any _side agreement_ ; and
3. (3) provide a properly reasoned independent legal opinion from an appropriately qualified individual confirming that the capital instrument qualifies as a Tier 2 instrument under Part Two of _CRR_.

* Future version of 7C.2 after 01/01/2027

7C.3

The requirement in 7C.2(3) for the provision of a legal opinion shall not apply where the issuance of the instrument is on substantially the same terms as a previously issued instrument notified under these rules.

7D

Further Notifications Etc.

7D.1

The _firm_ shall immediately notify the _PRA_ in writing of any change to the intended date of issue, type of investors, type of _own funds_ instrument or any other feature of the capital instrument to that previously notified to the _PRA_ under 7A to 7B.

7D.2

The _firm_ shall on, or immediately after, the date of issuance or the date of amendment or other variation, as applicable provide the _PRA_ with a copy of the final terms and conditions, a copy of the final legal opinion referred to in 7A.2(3) and 7B.2(3) and if applicable the final accounting opinion referred to in 7B.2(4).

7D.3

1. (1) The Pre/Post Issuance Notification (PIN) Form can be found here Form").
2. (2) The CET1 Compliance Template can be found here.
3. (3) Where in compliance with this chapter a _CRR consolidation entity_ provides the _PRA_ with a notification or other information a _firm_ shall not be required to provide the same notification or information on an individual basis.

* Future version of 7D.3 after 01/01/2027

8

Notification Regime ? Amendment [Deleted]

8.1

[Deleted.]

9

Notification Regime ? Reduction of Own Funds [Deleted]

9.1

[Deleted]

10

Building Societies ? Creditor Hierarchy

10.1

This Chapter applies to every _firm_ that is a _building society_.

10.2

A _firm_ must ensure that any _Additional Tier 1 instrument_ or _Tier 2 instrument_ issued by it is contractually subordinated to its non-deferred shares.

11

Transitional Provisions for Own Funds

11.1

[Deleted.]

11.2

[Deleted.]

11.3

[Deleted.]

11.4

[Deleted.]

11.5

[Deleted.]

11.6

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11.7

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11.8

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11.9

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11.10

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11.11

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11.12

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11.13

[Deleted.]

11.14

[Deleted.]

11.15

[Deleted]

12

Base Capital Resources Requirement

12.1

A _CRR firm_ must maintain at all times capital resources equal to or in excess of the base capital resources requirement set out in the table below:

Firm category	Amount: Currency equivalent
bank	?5 million
small specialist bank	The higher of ?1 million and £1 million
building society	The higher of ?1 million and £1 million
__designated investment firm__	£750,000